

❏ How does Flipkart ensure quality in the refurbished tech gadgets it offers?

▲ We have invested significantly in building a robust recommerce ecosystem, including a state-of-the-art refurb factory with a capacity of more than 80k+ phones/month and the strategic acquisition of Yaantra in 2022. Our tech-driven approach ensures every device undergoes stringent quality checks and is evaluated and graded accurately using our proprietary Flipkart Diagnostic app. This transparency in pricing reflects the true condition of the product. Moreover, our technology enabled testing processes for critical functions minimize human error, guaranteeing that customers receive devices in optimal working condition.

Beyond quality, we prioritise authenticity and transparency. All refurbished products undergo rigorous verification to ensure they are genuine. Our platform provides detailed product information, including condition reports, to empower customers to make informed decisions.

❏ What role does AI play in Flipkart's recommerce business?

▲ AI is a game-changer for the recommerce industry. By automating processes like product valuation, image recognition, and quality assessment, AI significantly enhances operational efficiency and reduces costs. Moreover, it empowers dynamic pricing strategies based on real-time market trends and consumer behavior. On the customer-facing side, AI-driven personalized recommendations and condition reports build trust and loyalty. As a result, recommerce businesses can scale operations, improve margins, and contribute to a more sustainable future.

By continuously investing in technology and AI for better and more objective doorstep assessment at the time of old device pickup, Flipkart aims to build a sustainable recommerce ecosystem that benefits sellers and customers.

AI and machine learning play a pivotal role in enhancing the quality assurance processes. By leveraging advanced

algorithms, we can efficiently analyse vast amounts of data to identify potential defects and anomalies in devices. To further optimise our refurbishment process, we are exploring the use of AI in accurate assessment of cosmetic condition of devices.

❏ How is AI being used to personalise the refurbished gadgets by Flipkart?

▲ Currently we are selling refurbished devices through a network of resellers who buy the devices using Flipkart reset for Business app. Our endeavour is to provide accurate assessment of device condition for the buyers and AI will play a critical role in bringing that transparency by providing an accurate assessment of the physical condition of the device.

❏ What are the key trends shaping the refurbished tech gadgets market in India?

▲ The refurbished tech gadgets market in India is evolving, with a notable shift in consumer preferences towards more sustainable and cost-effective options. The rising cost of new products has prompted consumers to explore refurbished electronics, which offer similar features at an affordable price. The market is experiencing a boom in organised sellers, enhancing the availability and trustworthiness of these products.

Online marketplaces have emerged as key players, providing convenience and a broad range of choices for consumers. The industry is also seeing an uptick in environmentally friendly alternatives and a growing confidence in the quality of refurbished items. With the market for used electronics projected to reach \$11 billion (by value) by FY26 and expanding at a 16% compound annual growth rate, it's clear that tech-savvy buyers are increasingly drawn to refurbished smartphones, laptops, and other electronic devices for their high-end features at competitive prices. Enhanced refurbishment processes and transparent pricing have further solidified consumer trust, making online plat-

forms the go-to shopping destination. Our recent introduction of the Exchange Program for non-functional smartphones and appliances is a testament to our commitment to a circular economy. This allows customers to exchange their defunct large and electronic appliances for upgraded products ranging from appliances like television, refrigerators, and washing machines to laptops, smartphones, and feature phones. Apart from attractive value for their old devices, customers can also enjoy the convenience of getting devices assessed and picked up at their doorstep.

❏ Major challenges faced by the refurbished gadgets industry in India?

▲ One of the primary challenges is the consumer perception of refurbished products, which often associates them with lower quality or reliability. Additionally, the logistics of collecting, refurbishing, and redistributing gadgets at scale is a complex operation that requires significant investment and coordination. To address these challenges, Flipkart is proactively implementing stringent quality checks and offering warranties to boost consumer confidence in refurbished products. On the logistics front, we are leveraging our robust supply chain infrastructure to streamline operations with a vision to organise the largely unorganised sector.

However, unique challenges persist in India's refurbished market. Consumer trust and perception of refurbished products remain key hurdles. Building a robust trust ecosystem, ensuring product quality, and offering comprehensive warranties are crucial. Additionally, the lack of standardised refurbishment processes and organised supply chains pose operational challenges. To address these, Flipkart is investing in state-of-the-art and tech-driven refurbishment facilities, stringent quality checks, and transparent certification processes. By establishing trust and offering a wide range of certified refurbished products, Flipkart aims to revolutionise the refurbished gadgets market in India. **[d]**